# Ryanair DCF: valuation model and methodology

Viktorie Kodickova | October 2026 | Valuation date 6 March 2026, share price €26.19, EUR m unless stated

## Summary

Ten-year unlevered DCF of Ryanair (FY26 to FY35). Growth fades to the terminal rate, and reinvestment and the terminal value are tied to growth. The base case gives an equity value of €33,843m, or €31.72 per share, which is 21.1% above the current price. The conservative and optimistic scenarios give €24.90 and €39.33. Terminal value is 62.6% of enterprise value.

## 1. Method

| Element | How it works | Reason | Cells |
|---|---|---|---|
| **Cost of equity** | Risk-free 2.86% + adjusted beta 1.0067 x ERP 6.0% = 8.90%. Adjusted beta = 1/3 x 1 + 2/3 x raw beta (1.01). | Blume adjustment, the same formula as Bloomberg Adjusted Beta. | WACC!F10, F14 |
| **WACC** | 94.8% equity (market cap 27,500) at 8.90% and 5.2% debt (1,500) at 3.0% after 12% tax = 8.58%. | Market-value weights. | WACC!F22 |
| **Revenue growth** | FY26 at 9.09%. From FY27 growth falls by (start growth - TGR) / 9 a year, reaching 1.50% in FY35. | Growth converges to the terminal rate, so there is no jump into the terminal year. | DCF!P41:X43, D18 |
| **Reinvestment** | Reinvestment rate = growth / RONIC. FY26 is 48.6% of NOPAT (RONIC 18.7%), implied by the CapEx, D&A and working capital assumptions. RONIC then fades in equal steps to WACC in FY35, reaching a 17.5% reinvestment rate. CapEx and working capital follow it. | Keeps CapEx and the working capital inflow in line with the slowing growth. | DCF!P60:X65 |
| **Free cash flow** | NOPAT (EBIT margin 17.2%, tax 12%) minus net reinvestment (CapEx - D&A + change in NWC). FY26 uses D&A 8.05%, CapEx 18.28% and NWC -2.87% of sales. | FY26 levels are normalised averages of FY17 to FY19 and FY24 to FY25. | DCF rows 45 to 66 |
| **Terminal value** | Terminal FCF = NOPAT FY35 x (1+g) x (1 - g/WACC). TV = terminal FCF / (WACC - g). | RONIC = WACC in the terminal year, so it continues the FY35 reinvestment rate of 17.5%. | DCF!Y54:Y66, X73 |
| **Tax and FY26 cash flow** | Tax rate 12%. FY26 FCF counts only the 25 days after the valuation date. Gross debt of 1,500 includes lease liabilities. | Effective tax rate and debt from the Q3 FY26 results. Stub period matches the valuation date. | Sources & Checks B7, B14; DCF O67 |

Base case growth path FY26 to FY35: 9.09%, 8.25%, 7.40%, 6.56%, 5.72%, 4.87%, 4.03%, 3.19%, 2.34%, 1.50%. Reinvestment rate: 48.6%, 46.9%, 45.0%, 42.8%, 40.2%, 37.2%, 33.7%, 29.4%, 24.1%, 17.5%.

## 2. Base case valuation

| EUR m | Base case |
|---|---|
| Revenue FY35 | 23,305 |
| NOPAT FY35 | 3,532 |
| Unlevered FCF FY35 | 2,914 |
| Terminal-year FCF | 2,958 |
| Terminal value | 41,777 |
| PV of terminal value | 20,633 |
| Sum of PV of FCF FY26 to FY35 | 12,310 |
| Enterprise value | 32,943 |
| Cash | 2,400 |
| Debt (incl. leases) | 1,500 |
| Equity value | 33,843 |
| Diluted shares (m) | 1,066.8 |
| **Implied price per share (EUR)** | **31.72** |

## 3. Scenarios and sensitivity

| Scenario | Growth FY26 to FY35 | EBIT margin | WACC / TGR | Price (EUR) |
|---|---|---|---|---|
| Conservative | 7.0% to 1.0% | 16.0% | 9.2% / 1.0% | 24.90 |
| **Base / Street** | **9.1% to 1.5%** | **17.2%** | **8.58% / 1.5%** | **31.72** |
| Optimistic | 11.0% to 2.0% | 18.5% | 8.2% / 2.0% | 39.33 |

The sensitivity table covers WACC 7.5% to 10.0% and TGR 0.5% to 2.5%, with growth fading to the TGR of each column. The value ranges from €26.26 to €37.81 and the base cell equals the DCF price.

## 4. Consistency checks

- FY35 growth equals the terminal growth rate in every scenario. The reinvestment rate falls smoothly from 48.6% in FY26 to 17.5% in FY35 and stays there in the terminal year, so FCF moves from 2,914 to 2,958 with no jump.
- All cells are live formulas. The scenario table and the sensitivity table use explicit formulas on the Calc sheet, with no Excel data table. The scenario switch (DCF!D11:D14) reproduces the scenario table prices.
- The workbook recalculates with no errors in LibreOffice.